

25STCV18714 25STCV18714

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AMERICAN MODERN PROPERTY AND CASUALTY
INSURANCE COMPANY,

Plaintiff,

v.

3 LA OZ FUND I, LLC, et
al.,

Defendants.

Case No.: 25STCV18714

Hearing Date: September 16, 2026

[TENTATIVE]

order RE:

plaintiff's motion to tax costs

BACKGROUND

On June 27, 2025, Plaintiff American Modern Property and Casualty Insurance Company (American) filed this action against Defendants 3 LA Oz Fund I, LLC (3 LA Oz Fund) and Steven Chang, M.D. (Chang). The complaint asserts claims for rescission and fraud.

The dispute stems from an insurance policy that American issued to Chang and 3 LA Oz Fund. Brenda King (King) and First Steps to Success, Inc. (First Steps) sued Chang and 3 La Oz Fund for private nuisance in the case Brenda King, et al. v. Steven Chang, M.D., et al. (24STCV05714). King and First Steps also sued Steven Fleming (Fleming), 3 LA Ventures, LLC (3 LA Ventures), God's Property Sober Living Foundation (God's Property), Aldo Rodriguez (Rodriguez), and Winssen Transport, LLC (Winssen). The King complaint alleged that the insured property was being operated as a sober living home or halfway house.

Chang and 3 LA Oz Fund demanded that American defend and indemnify them for the King lawsuit under the policy. However, American alleges that the policy is subject to rescission based on the mistaken belief that the property would not be operated as a halfway home or similar occupancy. American further alleges that Chang and 3 LA Oz Fund fraudulently represented that the property would not be used for such purposes.

On May 15, 2025, American filed the operative First Amended Complaint, adding King, First Steps, Fleming, 3 LA Ventures, and God's Property as defendants. These additional defendants allegedly claim an interest in the proceeds of the insurance policy issued to Chang and 3 LA Oz Fund.

Following mediation, the King action resolved in a stipulated judgment dated May 8, 2026. Judgment was entered: (a) for King against Winssen in the amount of \$1.2 million; and (b) for Chang, 3 LA Oz Fund, 3 LA Ventures, Rodriguez, Fleming, and God's Property against King. American contributed 56% of the settlement on behalf of its insureds, Chang and 3 LA Oz.

On June 11, 2026, this action was dismissed with prejudice pursuant to American's request.

On June 11, 2026, King and First Steps filed a Memorandum of Costs (MOC) seeking \$938 in filing and motion fees.

On June 29, 2026, American filed the instant motion to tax costs. King and First Steps filed an opposition on August 26, 2026. American filed a reply on September 8, 2026.

LEGAL STANDARD

“Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding.” (Code Civ. Proc., § 1032(b).) Section 1033.5 sets forth the types of costs that are recoverable to the prevailing party as follows: (1) costs that are expressly allowed; (2) costs that are expressly disallowed; and (3) costs that are allowed in the court's discretion. (Id., § 1033.5.) Even where costs are deemed allowable, such costs are only recoverable if they are: (1) reasonably necessary to the litigation and not merely convenient or beneficial to its preparation; and (2) reasonable in amount. (Ibid.)

“If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs.” (Sanford v. Rasnick (2016) 246 Cal.App.4th 1121, 1128.) The mere filing of a motion to tax costs can be a proper objection if the challenged costs appear doubtful or improper on their face. (Nelson v. Anderson (1999) 72 Cal.App.4th 111, 131.)

DISCUSSION

I.

Prevailing Party

A prevailing party is “the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant.” (Code Civ. Proc., § 1032(a)(4).)

Here, King and First Steps are the prevailing parties because dismissal was entered in their favor, and American recovered nothing against King and First Steps. However, American argues that it was the prevailing party because it “enjoyed net monetary recovery to the extent that it was able to contribute 43% less to settlement of this matter than it would have in the absence of the rescission action.” (Mtn. 3:2-3.)

American's position is unsupported by law. American cites no authority suggesting that a party's prevailing status may be determined by reference to a settlement in a separate action. In this action, King and First Steps obtained a dismissal in their favor. American sought rescission of the policy and did not achieve that result. American obtained no monetary recovery from any defendant, including King and First Steps.

American alternatively argues that the Court should exercise its discretion to find American prevailed by obtaining relief "other than monetary relief." (See Code Civ. Proc., § 1032(a)(4).) However, American obtained no relief in this action, monetary or otherwise, because it dismissed the action without obtaining the sought-after rescission. Nothing in the complaint suggests that American sought to reduce the amount paid towards settlement of the King action. Instead, American sought to void the policy entirely based on fraud or mistake. Because American dismissed its lawsuit without accomplishing that result, it is not the prevailing party.

In sum, King and First Steps are the prevailing parties entitled to recover costs.

II.

Amount

The MOC claims \$938 for filing and motion fees, consisting of the following filings: answer to complaint (\$906); CMC statement (\$12); and the MOC (\$20).

American challenges the \$906 for filing the answer, arguing that it should be reduced to \$870. American cites no evidence for this reduction. By contrast, defense counsel presents evidence that the filing fee for the answer was \$905.69. (Wilens Decl., Ex. A.) The Court finds that the cost was reasonably incurred and reasonable in amount.

CONCLUSION

Plaintiff American Modern Property and Casualty Insurance Company's motion to tax costs is DENIED.